

sentiment gauges will give off major trend sell signals two or three years before the final top, and the market will just keep on going.” “Remember,” said the October 1983 issue, “that the Elliott Wave position calls for a speculative environment of historic proportion by the end of this bull market.” Even after the market had *doubled*, the case remained that considerable long term upside potential remained based on valuation. Read this commentary from the first quarter of 1987 and see how it pertains to today:

Many investors have already missed hundreds of points of this bull market because they concluded that prices were “too high” with respect to past readings on multiples such as stock prices to corporate earnings or dividends. Late last year, many commentators began using the measure of book value to argue that stock prices were expensive. The current market is priced at 2.2 times the book value of corporations, an area that has coincided with major market tops over the past 50 years. However, what these studies always neglect to mention is that the stock market reached 2.3x book value in 1925, 2.6x in 1927, 3.6x in 1928, and a peak of 4.2 *times book value* in 1929, reflecting the euphoria that accompanies the peak of a fifth wave of Supercycle degree. Since, as EWT has argued for years, the 1980s market’s closest analogy is that of the 1920s, this observation is of more than passing importance. A similar multiple today, assuming no change at all in book value itself, would project a DJIA at **4150**, which certainly places my long standing target of 3600-3700 in the realm of the reasonable.

Today the market has indeed achieved an overvaluation commensurate with a Supercycle peak, and in fact a Grand Supercycle peak. In doing so, it is telegraphing historic risk. Let’s examine the position of each key measure.

Price/Dividend Ratio, or Yield

The most important stock market valuation indicator is dividend yield. Stocks are owned for one reason, to make money. There are two ways to make money, via *dividends* and via *capital appreciation*. The price an investor is willing to pay for dividends is a direct statement regarding his valuation of the speculative component of stocks. When dividends are high, an investor is saying, “I’m getting a good return. I don’t expect much capital gain, but if the stock goes up, it will be ‘gravy’ on the side.” This is a conservative